

PERFORMANCE WORK STATEMENT
TUGBOAT SERVICES
COMMANDER NAVY REGION HAWAII

1.0 BACKGROUND

Commander, Navy Region Hawaii (CNRH) Port Operations provides Shore Installation Management support to Navy Forces Afloat in Navy Ports by operating ports, providing services and a safe haven for visiting and homeported Navy ships and submarines. Commander, Navy Region Hawaii (CNRH) is located at Joint Base Pearl Harbor- Hickam (JBPHH), on the island of Oahu. The CNRH mission is to provide, maintain, and improve shore infrastructure, service support, and training to enable Fleet Operations of Naval Forces. The support includes port services for surface ships and submarines homeported at JBPHH. Navy Region Hawaii oversees the U.S. Navy's largest and most strategic island base in the Pacific. The Navy region extends over 23,000 acres of land and water on Oahu and Kauai and serves as the host for the head of seven major Navy commands, including the Commander, U.S. Pacific Fleet. CNRH at Joint Base Pearl Harbor-Hickam provides services similar to those of a large port city. It is one of the Navy's busiest ports. Tour boats manned by Navy personnel transport more than 2 million visitors to the USS ARIZONA memorial annually.

2.0 OBJECTIVE/SCOPE

CNRH requires a U.S. flagged tug/s to provide harbor support services and ship handling covering four performance periods for the region of Oahu, Hawaii, generally within the confines of Joint Base Hickam, Pearl Harbor, HI.

3.0 PERFORMANCE REQUIREMENTS:

- 3.1. General Requirements. The Contractor shall provide adequate staff and communications to respond promptly to Government's tugboat services.
- 3.2. The Contractor shall provide towing, twisting, mooring, berthing, docking, streaming, shifting, assisting, pulling, and escorting of vessel types identified in participating in RIMPAC exercise and miscellaneous other vessels, barges, submarines, crafts, hulls, sleds, derricks, lighters, and objects of whatsoever nature including anything carried thereon. Government reserves the right to use Government-owned or controlled Tugs or vessels separately or jointly with Contractor's Tugs in the performance of any services listed in this Contract.
- 3.3. The Contractor shall provide tug emergency support services that include but are not limited to responses to weather conditions threatening vessels, piers, dry-docks, or shore facilities; shipboard fires; vessels aground; vessel equipment failures; downed aircraft; oil spills; missions of mercy; collisions; ammunition mishaps; and search-and-rescue operations and shipboard casualty or National Defense Emergency.
- 3.4. Providing personnel (other than a riding crew) to go aboard a tow. For the Purpose of this contract the COR or appointed government personnel shall be allowed to ride aboard the vessel during a government ordered emergency situation and or take over operations of the vessel in the event the contractor cannot support due to the nature of emergency or classification.

3.5. The Contractor shall provide an emergency telephone contact number that the Government can use to contact the Contractor during non-work hours (nights and weekends). The Contractor may provide the number of an answering machine or pager to receive such calls, provided the Contractor respond within **two hours** of the time that the Government places a call to the Contractors designated emergency number.

3.6. SERVICE DELIVERY SCHEDULE

The place and time of initial delivery and redelivery shall be as stated in the following box:

RIMPAC TUG SUPPORT

Period	Delivery/Redelivery Port	Commencement Date	Cancelling Date
TUG Period #1	SIERRA 20 PIER, Pearl Harbor, HI	21 June 2026	22 June 2026
TUG Period #2	SIERRA 20 PIER Pearl Harbor, HI	07 July 2026	08 July 2026
TUG Period #3	SIERRA 20 PIER Pearl Harbor, HI	28 July 2026	29 July 2026
TUG Period #4	SIERRA 20 PIER Pearl Harbor, HI	01 Aug 2026	02 Aug 2026

3.7 DELIVERY

(a) The Tug and all Associated Equipment shall be delivered in the conditions described below to the Government at a port or place indicated above not later than 0600 hours local time (place of delivery) on the commencement date stated. The Contractor shall give written notice of readiness during office hours to the appointed Government representative at the port or place of delivery. Government inspection of the Vessel shall be completed within a reasonable amount of time (4 hrs.) thereafter, not exceeding twelve (12) hours after proper tender of the notice of readiness. Government shall have the liberty to cancel this Tug service at no cost to the Government should the Tug and/or Associated Equipment not be ready in accordance with the provisions hereof by the canceling date. Nothing in this paragraph shall limit any remedy of the Government otherwise available at Law, in Equity or under this Tug Services contract.

(b) Condition. The Vessel and all Associated Equipment shall be seaworthy, properly and efficiently manned and trained, equipped, supplied, and in every way suitable and adequately fitted for and in all respects ready for the service contemplated herein. Any Associated Equipment shall, upon delivery, be as described in this Tug service contract and all equipment shall be operable. The Contractor shall exercise due diligence to maintain the Vessel and Associated Equipment in such state during the period of performance.

3.8 REDELIVERY: Unless lost, the Vessel shall be redelivered at a port or place stated in the contract. The Government shall notify Contractor of the place and date of redelivery no later than the time shown in the Performance Work Statement. Reference 5.0.

3.9 AUTHORIZED TUGS: The Tug(s) used for performance of this Contract shall be only those identified in the following table, or any authorized substitutes provided in accordance with the Substitution of Tugs clause of this Contract.

3.10 TUG SPECIFICATIONS and CHARACTERISTICS: The Tug(s) shall have the minimum characteristics as described in the “Tug Characteristics” chart below. Specifications and characteristics exceeding the minimum, if offered and accepted by the Government, are incorporated by reference upon contract award.

CHARACTERISTIC	MINIMUM	CHARACTERISTIC	MINIMUM
FLAG	USA	MAXIMUM DRAFT:	16’
PROPULSION TYPE	Tractor like	MAXIMUM LENGTH OVERALL:	110’
SHAFT HORSEPOWER	4000	BOLLARD PULL	100,000 LBS FORWARD 70,000 LBS ALL OTHER DIRECTIONS
SURFACE CONFIGURATION	Configured to prevent metal-to-hull contact with surface vessels under normal conditions of pitch and roll.	SURFACE FENDERING	Clean and sufficient to prevent metal-to-hull contact with surface vessels under normal conditions of pitch and roll.
MAXIMUM AIR DRAFT	24 ft. maximum height to the highest fixed point.	CAPSTANS/WINCHES	Sufficient for services performed under this contract
LINES	Sufficient for services performed under this contract.	COMMUNICATION EQUIPMENT	Minimum required by the U.S.C.G. and FCC for inland and international waters
NAVIGATION EQUIPMENT	Minimum required by the U.S.C.G. for inland and international waters		

3.11 SUBSTITUTION OF TUGS: Substitution of tugs is not authorized during the two-day performance period except for a casualty that would prevent the tug from performing the requirements fully. Substitution of tugs is authorized, but only for good cause shown and upon proper notice to the COR and approval of the Contracting Officer. Notice of intent to substitute by the Contractor shall identify the tug being substituted and the tug for which substitution is being made and shall provide the COR with sufficient information on which to base a determination regarding good cause for substitution and the acceptability of the nominated substitute vessel. Notice shall be submitted in writing and shall be submitted sufficiently (4 hrs.) in advance to permit the Contracting Officer to make a reasoned determination regarding good cause and COR approved substitute tug suitability. If unforeseen circumstances require oral notification, said notice shall provide all of the above required information and shall include a statement of circumstances that preclude a written notice prior to substitution. Confirmation of the information given in an oral notice shall be submitted to the Contracting Officer/COR in writing within forty-eight (48) hours of the giving of oral notification.

- (a) The Contractor shall fix and deploy a substitute Tug within a period of six (6) hours of submission of notice of substitution or within six (6) hours of the commencement of any off-hire whichever occurs first. (See section entitled "Off-hire" below.)
- (b) Any tug offered as a substitute shall meet the minimum specifications identified in 3.10 above and have substantially the same characteristics, i.e., shall be similarly fitted and otherwise equal or superior in performance. Any tug substituted under this Clause shall result in no additional cost increase to the Government and substitution shall result in no operation delay for Charterer except as provided above. It shall not otherwise excuse any other performance required under this PWS.
- (c) COR notice of acceptance or rejection of the substitute tug shall be made within reasonable time (4 hrs.) not to exceed 6 hrs. Following Contractor's nomination thereof, provided that the COR have furnished sufficient information on which to base such a determination. Silence of the COR shall not be construed as acceptance of any nominated tug.
- (d) Notwithstanding the Government COR prior acceptance of any substitute tug under this paragraph, the Government may at any time reject any previously accepted substitute vessel if it is determined that the characteristics of that substitute tug were misrepresented by the Contractor or are otherwise unsuited to the requirements of this contract.

3.12 TUG COMPLEMENT AND CREW:

- (a) The Master(s), Officers and entire crew shall be US citizens, speak English fluently, and possess valid and current United States Coast Guard certificates, licenses, and documents. The Master, Officers and crew of the Tug(s) shall be appointed or hired by the Contractor and shall be deemed to be the servants and agents of the Contractor at all times except as otherwise expressly specified in this contract.
- (b) Physical security equipment required to meet port security plans shall be Contractor-furnished.
- (c) All contractor employees shall wear a contractor-furnished uniform with Contractor and individual identification clearly and permanently marked. Contractor name shall be visible on the upper back of uniforms.
- (d) All contractor employees shall have in their possession photo identification at all times when working under this Tug service contract.
- (e) If the Government shall have reason to be dissatisfied with the conduct or performance of the Master, Officers, or crew, the Contractor shall, on receiving particulars of the complaint, investigate the matter and, if necessary to alleviate the cause of the complaint, make a change in personnel.
- (f) Security Clearances. Reference section 9.0 Contractor Qualifications/requirements

3.13 TYPICAL SERVICES

- (a) The following list is provided for illustrative purposes only and describes some of the services that may be performed as requested on the basis of a 24-hour per day readiness, including but not limited to:
 - i. Towing, twisting, mooring, berthing, docking, streaming, shifting, assisting, pulling, and escorting those vessel types identified in Attachments to this Contract and miscellaneous other vessels, barges, submarines, crafts, hulls, sleds, derricks, lighters, and objects of whatsoever nature including anything carried thereon. Government reserves the right to use Government-owned or controlled Tugs or vessels separately or jointly with Owner's Tugs in the performance of any services listed in this Contract;
 - ii. Transfers of pilots and Government Personnel (other than a riding crew) to go aboard a tow by vessel; Reference section 3.4
 - iii. Tug emergency support services, including responses to weather conditions threatening vessels, piers, dry-docks, or shore facilities; shipboard fires; vessels aground; vessel equipment failures; downed aircraft; oil spills; missions of mercy; collisions; ammunition mishaps; and search-and-rescue operations and shipboard casualty or National Defense Emergency;
 - iv. Line handling; and
- (b) Contractor shall provide adequate staff and communications to promptly respond to Government's requests for services under this contract on a 24-hour per day basis.

3.14 OTHER SERVICES, RESPONSIBILITIES, PLANS and REPORTS:

- (a) Incident Reports: In all instances in which any vessel being handled by Owner's Tug(s) sustains damage or is involved in any incident resulting in damage to vessels or property, or in bodily injury or death, Owner shall secure a report from the Tug Master or Officer acting as pilot, and from any licensed pilot aboard the vessel being handled. Contractor shall submit said report to the Contracting Officer within 1 hour following said incident, reporting the facts, listing deaths, reporting the extent of damages to property and any bodily injuries, and listing recommendations to prevent recurrence.
- (b) Requests for services within the scope but not outlined in the Tug service contract may be issued only by Contracting Officer.

3.15 OFF HIRE:

- (a) General: In the event of the loss of time resulting from deficiency and/or default of employee (workers) including but not limited to misconduct, illness, injury, strikes, labor disruptions, lockouts; deficiency of stores; fire; breakdown of or damage to hull, machinery, or equipment; collision; stranding; grounding; detention by authorities; average accidents to Vessel or cargo unless resulting from inherent vice, quality, or defect of the cargo; repairs; inspections; all dry-dockings including those for the purpose of examination/inspection or painting bottom but not for those dry-dockings under the Alterations clause contained herein; or deviation for the purpose of landing any ill or injured person on board other than any passenger, supercargo, or military personnel who may be carried at Governments request; or by any other cause whatsoever preventing the full working of the Vessel, the payment of hire shall cease for all time lost until the Vessel is again, at a position not less favorable to the Government than that at which such loss of time commenced, ready and in a fully efficient state to resume its service. Should the Vessel deviate or put back during a voyage contrary to the orders or directions of the Government for any reason, the hire is to be suspended from the time of deviating or putting

back until it is again, at a position not less favorable to the Government than that at which such loss of time commenced, ready and in a fully efficient state to resume her service. When the period of time lost to the Government on any one occasion is less than two (2) consecutive hours, the hire shall not be reduced for such period, provided no missions were missed during that period of time.

- (b) **Cost for Contractor:** The cost of fuel consumed while the Vessel is off-hire, as well as all port charges, pilotages, and other expenses incurred during such period and consequent upon the putting in to any port or place other than that to which the Vessel is bound, shall be borne by the Owner. All fuel used by the Vessel being driven into port or to shallow harbors or to rivers or ports with bars, the delay of the Vessel and/or expenses resulting there from shall be for Government's account.
- (c) **Delays/Excessive Fuel Consumption.** If upon any passage the Vessel fails to make the warranted speed or if warranted fuel consumption exceeds that offered due to defect in or breakdown of any part of the hull, machinery, or equipment; casualty; or inefficiency of Master, Officers, or crew or their failure to proceed with utmost dispatch, and if the Vessel is delayed more than two (2) hours, provided no missions were missed during that period of time, the hire for the time lost and any cost of extra fuel consumed, if any, shall be borne by the Contractor.

3.16 **Loss of Vessel:** Should a Tug be either lost or missing, or become a constructive total loss, the portion of the charter for such Tug shall terminate and hire shall cease to be payable at the time of the loss or, if said time is unknown, at the time of the Tug's last received communication. If the Tug should be off hire or missing when a payment of hire would otherwise be due, such payment shall be postponed until the off-hire period ceases or the safety of the Tug is ascertained, as the case may be.

3.17 List of Vessel Classes.

Below is a list of vessel classes that are likely to be supported. The list is for demonstration purposes only and is not a guarantee of vessel types to be supported.

. AE	. AFDM	. AFS
. AGDS	. AO	. AOE
. AOR	. AR	. ARD
. ARS	. AS	. ASR

. ATF	. AVM	. CG
. CGN	. CV	. CVN
. DD	. DDG	. FF
. FFG	. IX	. LPH
. LHA	. LHD	. LKA
. LPD	. LSD	. LST
. MSO	. SS	. SSBN
. SSN	. Or foreign military vessels equivalent to any of the above	

4.0 PLACE OF PERFORMANCE

4.1 The place of performance shall be in the geographical region of Oahu, Hawaii and the surrounding navigable waters, including from Joint Base Hickam, Pearl Harbor, HI, Papa Hotel Buoy (two (2) miles from channel opening). Within this geographical region, the tug may be ordered to any berth, dock, anchorage, wharf, place, open roadstead, submarine line, or alongside any vessel, barge, lighter, submarine, craft, hull, derrick, or object of whatsoever nature that the Government may direct, provided the tug can lie always afloat except in harbors or waters where it is customary and safe in the port to work aground.

5.0 PERIOD OF PERFORMANCE

- 5.1. 21-23 June 2026 from 0600 to 1800 daily
- 5.2. 07-09 July 2026 from 0600 to 1800 daily
- 5.3. 28-30 July 2026 from 0600 to 1800 daily
- 5.4. 01 Aug 2026 from 0600 to 1800 daily

5.5. Tug Period - Shall be for the periods designated in section 5.0 above, commencing upon the date shown or the Governments acceptance of the Tug, whichever occurs later, and continuing until either the date of completion or the completion of the voyage then current, at the Government's sole option. Any optional periods shall be stated in the contract; in addition, the Government shall have the Time Lost options as specified under this contract.

5.6. TIME LOST - Tacking to the End of Tug Period. Any time lost by the Vessel during the POP (including during any option period) due to breakdown of machinery, interference by authority, collision, stranding, fire or other accidents or damage to the Vessel; or repairs, inspections, overhaul and alterations, preventing the work of the Vessel, shall be added to the Tug period at Government's sole option, declarable at least five (5) hours prior to the termination of the charter period. Hire for such additional declarable period shall be at the same rate as in effect as of the date said declaration was made.

5.7. Excessive Time Lost. The Government may by written notice cancel this Contract at no cost to the Government whenever, in any given 1-day period, for any reason whatsoever, more than six (6) hours is lost except for time lost as a result of the causes set forth in the “War” clause of this contract. See clause 52.212-4 Addendum.

5.8. Relationship to Other Remedies. No remedy conferred by this paragraph upon the Government is intended to be exclusive of any other remedy, but every such remedy shall be cumulative and shall be in addition to every other remedy already conferred by this Tug services contract now or hereafter existing at Law or in Equity or by statute.

6.0 GOVERNMENT FURNISHED PROPERTY AND SERVICES

6.1. MATERIALS & EQUIPMENT. The Government will not provide any materials and/or equipment.

6.2. GENERAL SERVICES. The Government will not provide any general services.

6.3. FACILITIES & UTILITIES. The Government will provide berthing and shore power at S-19 for the tug during the contract period.

7.0 PERFORMANCE REQUIREMENTS SUMMARY MATRIX

PWS SECTION	PERFORMANCE STANDARD	ACCEPTABLE QUALITY LEVEL	SURVEILLANCE METHOD
3.1-3.5	Perform general requirements as stated in the specified sections.	100% Compliance	COR Inspection
3.6-3.11	Perform all delivery, redelivery of authorized tugs, substitution of tugs per the tug specifications and characteristics at the location on the specified dates & times.	99% Compliance	COR Inspection
3.12	The Contractor personnel shall meet all requirements stipulated and work in a professional manner at all times.	99% Compliance	COR Inspection
3.13-3.14	The Contractor shall provide all specified services along with responsible to provide plans and reports as needed.	99% Compliance	COR Inspection
3.15	The Contractor shall be prepared to address off-hire as needed.	100% Compliance	COR Inspection
3.16	The Contractor shall handle the loss of vessel as stipulated should the circumstances arise.	100% Compliance	COR Inspection
3.17	The Contractor shall be prepared to support the possible vessel classes.	100% Compliance	COR Inspection

8.0 QUALITY ASSURANCE

- 8.1 The Contractor is responsible for implementing and maintaining a Quality Control Program (QCP) to ensure that the work performed meets or exceeds contract requirements and results in the correction of potential and actual problems. The QCP shall be implemented on the first day of contract performance and shall describe what will be reviewed and outline actions to be taken by the Contractor, should review(s) and/or inspections identify areas requiring remedial action.
- 8.2 Notwithstanding the Contractor's QCP, the Government will administer a Quality Assurance Surveillance Plan (QASP) as part of this PWS. The QASP shall outline what deliverables will be surveyed by the Government and the method and periodicity of surveillance to ensure the quality of deliverables as outlined in this PWS. The QASP shall address what will be reviewed and shall outline actions to be taken by the Government, should review(s) and/or inspections identify areas of quality deficiencies.
- 8.3 Periodic Progress Meetings: The COR, as appropriate, may meet with the Contractor to review the Contractor's performance. At this meeting(s), the COR will appraise the Contractor of how the Government views the Contractor's performance and the Contractor will appraise the Government for problems, if any, being experienced. Appropriate action should be taken to resolve outstanding issues. These meetings shall be at no additional cost to the government.

9.0 CONTRACTOR QUALIFICATIONS/REQUIREMENTS

- 9.1 The Contractor shall provide trained personnel fully capable of providing the deliverables requested and have the knowledge, skills and expertise to meet the requirements specified in this PWS. Performance of all work under this contract is restricted to US citizens and US nationals only. All work performed shall be in accordance with Federal, State of Hawaii, CNRH and local laws, regulations and procedures.
- 9.2 Security Requirements: This contract does not require a security clearance level and clearance granted by the Defense Security Service (DSS). Should contractor personnel receive or suspect they have learned of classified information beyond their level of clearance, the Contractor shall identify and report suspicions to the COR.
- 9.3 U.S. Citizenship is required for facility access. The Contractor shall provide proof of compliances with this requirement upon request of the COR.
- 9.4 Base Access: Commander, Navy Installations Command (CNIC), has established the Defense Biometric Identification System (DBIDS), a standardized process for granting unescorted access privileges to vendors, contractors, suppliers and service providers not otherwise entitled to the issuance of a Common Access Card (CAC) who seek access to and can provide justification to enter Navy installations and facilities. Visiting vendors may obtain daily passes directly from the individual Navy Installations by submitting identification credentials for verification and undergoing a criminal screening/background check. Further information regarding DBIDS can be found at http://cnic.navy.mil/CNIC_HQ_Site/index.htm (under "Popular Links").

10.0 CONTRACTOR PERSONNEL

- 10.1 The Contractor shall furnish sufficient personnel to perform all work specified within this PWS. Services shall be provided during the times outlined herein except Federal holidays or when the Government facility is closed due to local or national emergencies, administrative closings, or similar Government directed facility closings. The Contractor must at all times maintain an adequate work force for the uninterrupted performance of all tasks defined within this PWS when the Government facility is not closed for the above reasons.
- 10.2 OPERATING HOURS: Government normal operating hours are between 6:30 AM to 3:30 PM Monday through Friday, excluding Federal holidays and weekends.
- 10.2.1 Federal Holidays:
New Year's Day 1st of January
Dr. Martin Luther King's Birthday 3rd Monday in January
President's Day 3rd Monday in February
Memorial Day 5th Monday in May
Juneteenth 19th of June
Independence Day 4th of July
Labor Day 1st Monday in September
Columbus Day 2nd Monday in October
Veteran's Day 11th of November
Thanksgiving Day 4th Thursday in November
Christmas Day 25th of December
- 10.2.2 If the federal holiday falls on a Saturday, the holiday is observed on the proceeding Friday. If the federal holiday falls on a Sunday, the holiday is observed on the following Monday.
- 10.3 When performing work associated with this PWS, the Contractor shall make clear to all individuals they deal with that they are Contractor employees and not DOD personnel when working in any situation where their contractor status is not obvious to third parties. Contractor employees shall clearly identify themselves as a Contractor (i.e. company shirt, pin, visible company identification, etc.) in a visible location as to who their employer is, to avoid creating an impression that they are government personnel.
- 10.4 Contractor personnel shall not manage, supervise, direct, or task US military, DOD civilians or other personnel not associated with the Contractor while performing the tasks within this PWS.
- 10.5 Contractor personnel shall not make any commitment which commits the expenditure of US Government resources.
- 10.6 The Contractor performing services shall be required to comply with all US Navy rules, regulations, and training that is applicable to conduct, safety, security, and procedures governing site entry and exit.
- 10.7 Contractor personnel shall not establish an employee-employer relationship with any DOD activities under this PWS

- 10.8 The Contractor shall not provide personal services to DOD activities. If Contractor employees are directed by any government employee at any time to perform services not covered under this contract, the Contractor shall immediately notify the Contracting Officer.
- 10.9 All Contractor personnel who show evidence of any type of reportable infection shall not be permitted to perform work under this contract until such deficiencies are corrected. CDC guidelines must be adhered to; personnel with any suspected communicable diseases must present medical clearance by a physician acceptable to medical authority before performing work under this contract. Removal or dismissal for such cause does not relieve the Contractor of the requirement to provide sufficient personnel to adequately perform the services specified.

11.0 INSURANCE

- 11.1 Vessel Owner's Insurance. The Vessel Owner shall maintain marine insurance coverage on the Vessel, including Broad Form Tower's Liability Insurance (including damage to the Tow) on each tug performing under this Contract, Hull and Machinery, Protection and Indemnity (P&I) (including Tower's Protection and Indemnity Liability Insurance on each tug performing under this Contract), Pollution Liability, War Risk Hull and Machinery, War Risk P&I, Second Seamen's War Risk and Government Personnel Training Insurance (shall cover hands-on operation of the vessel equipment by Government personnel while training to operate the tug under the Emergency Situations and Training clause). Except as otherwise provided in this Contract, the expense for such insurance coverages shall be for the Owner's account and shall be deemed to be included in the hire payable under this Contract. Except as provided herein, the Owner shall be responsible for the cost of such insurance, including deductibles, premia, additional premia, calls, commissions, advancements, assessments, and overspill claims where applicable. Within 10 calendar days following award of the contract, the Owner shall notify the Contracting Officer in writing that the required insurance has been obtained.
- 11.2 Limitation of Liability. Except as otherwise specifically provided herein, the Government shall not be liable for any loss, damage, expense, cost, or liability whatsoever and howsoever incurred by the Vessel's Owner or Vessel, or which are imposed upon the Vessel's Owner or Vessel by operation of law. Any Amount due the Vessel's Owner under paragraph (10.1) shall be subject to set off by Government to the extent of any amount recovered under insurance carried by the Vessel's Owner, or to the extent of any amount recoverable under insurance required by paragraph (11.1).
- 11.3 Cancellation or Material Change in Coverage. All policies shall contain an endorsement stating that "in the event of cancellation or any material change in policies adversely affecting the interest of the Government in such insurance, the cancellation or change shall not be effective until 30 days after written notice thereto the Contracting Officer." Wording such as "will endeavor to mail notice" or "failure to mail such notices shall impose no obligation or liability" is not acceptable.
- 11.4 Government Named Assured. The United States of America shall be named as an additional assured with waiver of subrogation under the Vessel's Broad Form Tower's Liability policy, Tower's P&I policy, Hull and Machinery policy (and the Increased Value policy if applicable), the Vessel's P&I entry, any additional pollution liability coverage, the Vessel's War Risk Hull and Machinery policy including P&I, and Second Seaman's War Risk.

12.0 WAR

- 12.1 Voyage Instructions. If the Vessel is ordered under this Contract to any port, place, or zone involved in a state of war, warlike operations or hostilities, civil strife, or piracy (whether there be a declaration of war or not) where it might be reasonably expected to be subject to capture, seizure, arrest, or hostile act by a belligerent power (whether de facto or de jure), pirate, or terrorist, it shall be unreasonable for the Owner not to prosecute said voyage if insurance against said risks is then available commercially or under a Government program, or if the Government offers the Owner indemnification against said risks pursuant to Public Law 85-804.
- 12.2 The Vessel Owner shall immediately notify the Government: (i) whenever any sailing orders will result in a vessel subject to this contract being sent beyond the limits of the War Risk Trading Warranties of insurance policies required under this contract (to include entry into a war risk exclusion zone or when the vessel will enter, sail for, or deviate towards the territorial waters of any of the Countries or places, or any other waters described in the Lloyd's Joint War Committee's current List of Areas of Perceived Enhanced Risk); (ii) if there are any changes to the War Risk Trading Warranties of insurance policies required under this contract (including changes to the exclusion zones or the List of Areas of Perceived Enhanced Risk) or changes to War Risk premiums, charges, or deductibles; or (iii) whenever additional premium charges or costs will be incurred as a direct result of compliance with any sailing orders issued by the Government under this contract. The Owner shall ensure that the insurers provide it relevant information in a timely manner. If the Owner has given this required notice to the Government, the Government will reimburse the Vessel's Owner for the increase in costs (if any) of insurance premiums, charges, or deductibles which arise from the vessel sailing beyond the applicable War Risk Trading Warranties (including changes to the war risk exclusion zones) when entry into any exclusion zone or Area of Perceived Enhanced Risk under such insurance has been approved in advance by the Government. The issuance of sailing orders, by itself, does not constitute approval in advance by the Government. The Government may give the Vessel's Owner notice and instructions concerning suspension of commercial War Risk insurance coverage and substitution of Government indemnity or Government War Risk insurance as detailed in the section entitled "Government War Risk Insurance/Indemnity" below.
- 12.3 Additional Wage Costs. The Government shall reimburse Owner for the cost of provable additional master and crew wages (including all additional bonuses and payments required) to the extent that such additional costs arise directly from exposure of the Vessel, and/or Vessel's master and crew, to the risks described in the paragraph entitled "Voyage Instructions" above. However, any of said wages or payments shall not exceed in amount that which would be payable, under applicable laws and regulations, to U.S. civil service mariners in the employ of the Military Sealift Command in a similar port, place, zone, or route. Vessel's Owner shall notify Government of all anticipated additional wage costs prior to entering any location which would trigger such additional costs; and no such costs shall be reimbursable unless Government, after notification of such costs, provides approval to enter such location.

13.0 GOVERNMENT WAR RISK INSURANCE/INDEMNITY

13.1 General. Upon receipt of notice and instruction from the Contracting Officer, as specified in the last sentence of paragraph 11.2 above, with respect to any area excluded by the War Risk Trading Warranties or included by the Lloyd's Joint War Committee on the Hull War, Strikes, Terrorism and Related Perils Listed Areas (also known as Listed Areas of Perceived Enhanced Risk) under the Vessel's Owner's commercial War Risk coverage, the vessel's Owner shall, as soon as practicable, contact its insurance brokers or underwriters and arrange for the suspension of its commercial War Risk insurance upon entry of the vessel into, or extension of stay of the vessel in such area(s), or when the vessel will enter, sail for, or deviate towards the territorial waters of any of the Countries or places, or any other waters described in the Lloyd's Joint War Committee's current Listed Areas of Perceived Enhanced Risk, as the case may be, subject to resumption of its commercial War Risk insurance upon exiting such area(s). In such instances, the vessel's Owner shall accept the Government's indemnity or War Risk insurance, whichever is applicable, in lieu of such commercial War Risk insurance. The Vessel's Owner shall ensure that the suspension of its commercial War Risk coverage is coincident with the time that any Government indemnity or War Risk insurance becomes effective and shall likewise ensure that its commercial War Risk insurance is resumed at the time when any Government indemnity or War Risk insurance becomes ineffective. The Owner shall retain the same risks, such as deductibles (if any), that it has under its commercial insurance.

13.2 Government War Risk Insurance. Under the authority of 46 U.S.C. § 53905, the United States Maritime Administration (MARAD), at the request of Commander, Military Sealift Command, may furnish the following war risk insurance coverage, which will be effective during the vessel's transit under this Contract in areas which are in war risk exclusion zones, or waters described in the current Lloyd's Joint War Committee Listed Areas of Perceived Enhanced Risk, or otherwise excluded under the Owner's commercial marine War Risk trading warranties, and which are designated by notice from the Contracting Officer to the Owner:

- a. War Risk Protection and Indemnity insurance covering all liabilities up to an amount of \$250,000,000;
- b. War Risk Second Seaman's coverage, the principal sum of which shall be \$200,000 per Crew Member for loss of life.

13.3 Government Indemnity. Under the authority of Public Law 85-804 (72 Stat. 972, August 28, 1958) and Executive Order 10789, as amended by Executive Order 11610, the Secretary of Defense or the Secretary of the Navy may authorize the Contracting Officer to indemnify the Owner against loss from risks that would be covered by MARAD war risk coverage as set forth in the paragraph entitled "Government War Risk Insurance" directly above.